

Outlook

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Quick question: what happens just inside the affordability cut-off?

Hi,

This came up in a working session and nobody had the same definition.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: product and term explain the outcome; verified expenses or income quality create the main uncertainty; or thin discretionary income predicts later stress.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

What we need to decide is whether policy buffers, verification or monitoring should change. Please bring a working Excel file with the exception population and clear columns, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Thank you